

Position Sizing

INTERMEDIATE PRACTICE WORKSHEET

Look at your own portfolio, or a hypothetical one. There's no wrong answer, the goal is just practice.

Section 1 - Set Your Max-Weight Cap

What percentage of your total portfolio are you comfortable letting a single stock occupy? Why that number?

Section 2 - Calculate a Risk-Based Size

Pick a risk percentage per trade and a stop-loss distance. Using the lesson's method, calculate the resulting position size.

Section 3 - Which Rule Wins?

Compare your risk-based size and your max-weight cap from Sections 1-2. Which one is smaller? That's the position size you'd actually use.

Section 4 - Check a Past Decision

Think of a real or hypothetical position you've held that was oversized. What would applying your rule from Section 1 have changed?

Section 5 - Reflection

Be honest: when a stock you own is up a lot and now exceeds your cap, would you actually trim it? What would make it easier to follow through?